CASCADIA ANALYTICS

INVESTMENT SCORECARD

GOOGL

Alphabet Inc. (NASDAQ)

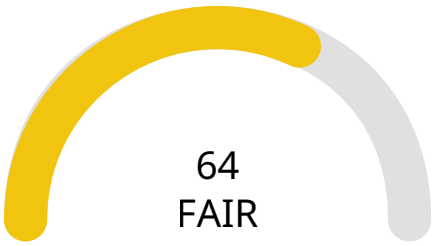
As-of: 23-Oct-2026 | Latest Filing: Q2 2026 10-Q (filed July 2026) | Currency: USD

$320.76 [Mkt 23-Oct-26]

Market Cap: $3.95T

[Mkt 23-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 88

One of the highest-quality businesses in the market: 32-36% operating margins, $129B FY2025 operating income, and a fortress balance sheet ($100.2B of debt against $242.5B of cash plus current marketable securities, a net cash position of $142.3B on the house definition). ROIC remains elite on the ad franchise.

2. Recent Trend — 72

Revenue accelerating: Q1 2026 +21.8%, Q2 2026 +24.4% YoY; Google Cloud +82% YoY; operating margin expanded to 34-36%. Offset by Q2 free cash flow turning negative ($5.9B) as capex doubled, and the stock's 3.8% September selloff on AI-agent disruption fears.

3. Forward Growth — 85

Google Cloud carries a $514B backlog (nearly doubled in twelve months) with tripled operating income; Gemini app at 950M MAU processing 22B tokens per minute; TPU system sales to external customers beginning; Waymo valued at $126B after a $16B round. Multiple compounding growth engines.

4. Valuation — 25

Our DCF base target is $149.97 vs $320.76 (-53%); even the Bull case ($265.38) sits 17% below the price. The reverse DCF shows the market pricing a ~59% five-year revenue CAGR. At 8.5x FY2026E revenue with FCF under acute

capex pressure, the multiple discounts perfection.

5. Catalysts & Risk 55

Near-term catalysts: Q3 2026 earnings (~Oct 29), 2027 capex budget signal, Waymo expansion. But the risk ledger is heavy: a $200B+ annual capex supercycle with uncertain returns, Meta's Muse agent bypassing the search results page, ad-tech and search antitrust remedies, and YouTube share pressure.

Investment Thesis

- **The business is exceptional but the price discounts perfection:** Alphabet owns the two most durable franchises in technology, Search and YouTube, plus the fastest-scaling cloud business in the industry. Our framework rates the business Attractive on quality, growth, and trend, yet the DCF puts fair value far below the market price. This is a great company at a demanding price.
- **The capex supercycle is the crux of the valuation debate:** Management guided 2026 capex to $195-205B and signaled a significant increase again in 2027. Q2 free cash flow turned negative for the first time as $44.9B of quarterly capex exceeded $39.1B of operating cash flow. The bull case requires this spend to convert into durable Cloud and AI revenue at high incremental margins; the bear case is a multi-year ROI shortfall.
- **Cloud is the growth engine, Search is the cash engine under watch:** Google Cloud revenue grew 82% YoY to $24.8B with operating income tripling to $8.8B and a $514B contracted backlog. Search keeps compounding, but Meta's Muse agent (2.8M downloads in twelve days) and court-ordered data-sharing remedies are the first credible threats to the ad moat in two decades.
- **Valuation verdict: Hold, Valuation Concerns:** Our probability-blended DCF target is $160.95, implying 50% downside from $320.76. Per our rating rules, an overvalued but healthy business is a Hold on valuation concerns, not a Sell. We would turn constructive on a capex normalization signal, a Search monetization re-acceleration, or a materially lower entry price.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Q2 2026 Revenue	$120.0B [10-Q]	+24.4% YoY [10-Q]	Accelerating
Q2 2026 Operating Margin	34.0% [10-Q]	+1.9pp [10-Q]	Expanding
Google Cloud Q2 Revenue	$24.8B [Earnings call]	+82% YoY [Earnings call]	Hypergrowth
Cloud Backlog	$514B [Earnings call]	~2x [Earnings call]	Surging

2026 Capex Guidance	$195-205B [Earnings call]	+119% vs 2025 [10-K]	Supercycle
Q2 2026 Free Cash Flow	-$5.9B [Earnings call]	First negative [Earnings call]	Pressured

Historical Financial Trend

Metric	FY2022	FY2023	FY2024	FY2025	H1 2026
Revenue ($B)	282.8 [10-K]	307.4 [10-K]	350.0 [10-K]	402.8 [10-K]	229.7 [10-Q]
Operating income ($B)	74.8 [10-K]	84.3 [10-K]	112.4 [10-K]	129.0 [10-K]	80.5 [10-Q]
Operating margin	26.5% [10-K]	27.4% [10-K]	32.1% [10-K]	32.0% [10-K]	35.0% [10-Q]
Free cash flow ($B)	60.0 [10-K]	69.5 [10-K]	72.8 [10-K]	73.3 [10-K]	N/A []
Capex ($B)	31.5 [10-K]	32.3 [10-K]	52.5 [10-K]	91.4 [10-K]	80.6 [10-Q]

Valuation

Absolute (3/10)

DCF base **$149.97** vs $320.76 (-53%). Blended (25/50/25) **$160.95**. Even the $265.38 Bull case is 17% below the price. The discount path runs from the live CAPM WACC to a terminal WACC of 8.8% on the decayed terminal beta of 1.05, with 2.5% terminal growth in the Base case.

Reverse DCF basis: we hold the Base bridge's five-year average FCF margin flat (6.1%, an average that spans the 2027-28 capex trough, when Base FCF is negative, rather than the 17.2% terminal-year margin) and discount at the Base terminal WACC. On that trough-average basis the market price implies a five-year revenue CAGR far above every scenario; on a terminal-year margin basis the implied

Versus Peers (4/8)

At ~8.5x FY2026E revenue and 22.8x forward earnings, GOOGL trades at a premium to slower-growing mega-caps but in line with AI-infrastructure peers. The premium is unsupported by near-term FCF, which is negative under the capex load.

Versus History (3/7)

Historically GOOGL traded at 18-25x earnings with 20%+ FCF margins. The current multiple embeds flawless AI-capex ROI; any guide-down in Cloud growth or capex discipline re-rates the multiple lower, as the September 3.8% selloff previewed.

growth rate would be materially lower. We disclose the basis because the choice drives the headline implied CAGR.

Catalyst Timeline

~Oct 29, 2026 [Earnings calendar]
Q3 2026 earnings: watch Search and Cloud growth, capex run-rate, and FCF trajectory.

Q4 2026 [Management guidance]
2027 capex budget signal: a below-$200B guide with Cloud margins intact would be the single biggest positive re-rating event.

2027 [Earnings call]
TPU system sales ramp to external customers, a new hardware revenue stream.

Ongoing [Company disclosure]
Waymo city expansion and international launches following the $16B round at a $126B valuation.

What Would Change Our Score

A credible 2027 capex normalization (below $200B with Cloud margins holding), Search monetization re-accelerating past AI-agent fears, or a 10Y yield decline cutting our ~8.9% WACC would lift the DCF materially. Conversely, another capex guide raise, Cloud deceleration, or Search share loss would cut it further.

Top Risk Factors (Item 1A)

1. AI capex ROI shortfall: $195-205B of 2026 capex (up ~119% YoY), rising again in 2027, with Q2 FCF already negative. If Cloud and AI revenue do not compound fast enough, shareholders fund a multi-year build with no return. [Earnings call]

2. Search disruption: Meta's Muse agent bypasses the search results page where Google's ad auction operates; 2.8M downloads in twelve days triggered a 3.8% selloff. Agentic AI is the first structural threat to Search monetization. [Market coverage]

3. Regulatory remedies: Ad-tech rulings require business changes and the search case forces data sharing with competitors plus limits on exclusive distribution deals, chipping at structural advantages. [Court rulings]

4. Valuation: The market prices a ~59% five-year revenue CAGR per our reverse DCF. Any growth disappointment against that bar implies sharp multiple compression. [Cascadia DCF]

5. YouTube competition: Q2 YouTube ad revenue missed estimates on competition and shifting marketing budgets, removing a cushion that usually offsets Cloud investment pressure. [Earnings coverage]

Forward Growth Drivers

- Google Cloud hypergrowth: +82% YoY revenue, tripled operating income, $514B contracted backlog converting over 24 months. [Earnings call]

- Gemini scale: 950M MAU, 22B API tokens per minute, deepening enterprise AI adoption on Google infrastructure. [Earnings call]
- TPU monetization: first external sales of complete TPU systems, a new hardware revenue stream from 2027. [Earnings call]
- Capital return: Berkshire Hathaway's $10B endorsement; ongoing buybacks steadily reduce share count (12.9B to 12.3B diluted since the split). [13F / 10-Q]

Missing / Modified Data Log

- FY2026E revenue ($490B) is an estimate: H1 2026 actual $229.7B plus H2 estimated at the +20% YoY pace of recent quarters; Q3 2026 reports ~Oct 29, 2026.
- Marketable securities of $186.6B (current, incl. $87.1B equity investments) are included in bridge cash under the house ruling (cash plus current marketable securities, long-term holdings excluded); the DCF bridge therefore carries net cash of $142.3B.
- Whisper/consensus estimates not available from free sources; growth CAGRs are Cascadia scenario assumptions.

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